



THE TAX BURDEN

36 |

**30% TAX ON
INCOME FROM
TRANSFER
OF VDAs**

**1% TDS ON
TRANSFER OF
VDAs ON SALE
VALUE**

**18% GST
ON CRYPTO
EXCHANGE
SERVICES**

**PENALTY OF ₹200 PER DAY
ON EXCHANGES IF THEY FAIL
TO SUBMIT INFORMATION ON
CRYPTO TRANSACTIONS**

**CBDT GUIDANCE NOTE
ON CRYPTO REPORTING
BY EXCHANGES IN LINE
WITH OECD NORMS**

THE INTERNATIONAL EXPERIENCE



**Paper on
cryptocurrency
regulations by the
department of economic
affairs still awaited**



**Standing Committee on
Finance, in a report on
the Securities Market Code,
called for regulatory
framework, self-regulation**



**OECD calls for stronger
governance measures
across the crypto-asset
industry and robust
supervisory framework**



**US working on crypto
regulations, SEC
proposes new rules for a
tailored securities regime**



**China banned
trading in crypto
assets since 2021, Pakistan
passed Virtual Assets
Act in 2025 to regulate
the sector**



**EU's Markets
in Crypto-Assets
Regulation provides
uniform market rules for
crypto assets**

REGULATORY NEEDS

Despite official warnings and obstacles to trading, the huge interest in cryptocurrencies remains unabated in India. Globally also, regulatory concerns over cryptocurrencies persist, but several countries have either barred such investments or developed regulatory frameworks.

Singhal says globally, developments across the US, the UAE, the EU, and other markets are creating a more structured environment and supporting the next phase of growth.

In 2021, China banned trading in crypto assets. The US, under President Donald Trump, enacted the GENIUS (Guiding and Establishing National Innovation for U.S. Stablecoins Act) Act in July 2025 that establishes a regulatory framework for payment in stablecoins.

More recently, the US Securities and Exchange Commission also proposed new rules, titled "Regulation Crypto Assets", to create a clear and fit-for-purpose framework for certain contracts involving crypto assets. The Trump family-backed World Liberty Financial crypto venture's trust company has got a conditional approval to launch a bank.

Driven by positive sentiments, bitcoin prices crossed the \$80,000-mark for the first time since May 2026 and touched \$81,235 on August 25.

In India, a formal regulation is still awaited, though a lot of thought and work has been put into it.

In 2019, an interministerial committee chaired by Secretary, Department of Economic Affairs, with Secretary, MeITY, Sebi Chairman, and RBI Deputy Governor as members had recommended banning cryptocurrencies in India